

THE UNIVERSITY OF ZAMBIA
SCHOOL OF HUMANITIES AND SOCIAL SCIENCES
DEPARTMENT OF ECONOMICS
ECN 1215: INTRODUCTION TO MACROECONOMICS
TUTORIAL SHEET 1 (UPDATED)

Instructions: Answer ALL questions

QUESTION ONE

- a. A farmer grows a bushel of wheat & sells it to a miller for K10.00. The miller turns the wheat into flour & then sells the flour to a baker for K30.00. The baker uses the flour to make bread & sells the bread to households for K60.00. The households eat the bread.
- I. What is the value added in each stages of production?
- II. What is GDP?
- b. What is the difference between intermediate goods & final goods and services?
- c. How each of the following events is likely to affect GDP?
- i.) Environmental laws prohibit the firms from emitting pollution
- ii) Strikes by trade unions.
- iii) Discovery of new seed increases farm harvest.
- d. Discuss critically GDP as a measure of economic welfare.

QUESTION TWO

- a. Consider an economy that produces only three types of fruit: apples, oranges & bananas. In the base year the production & price data are as follows:

Fruit	Quantity	Price
Apples	3000 Units	K2 per unit
Bananas	6000 Units	K3 per unit
Oranges	8000 Unit	K4 per unit

In the current year the production & price data are as follows:

Fruit	Quantity	Price
Apples	4000 Unit	K3 per unit
Bananas	14,000 Unit	K2 per unit
Oranges	32,000 Unit	K5 per unit

- i) Find nominal GDP in the current year & in the base year. What is the percentage increase since base year?
- ii) Find real GDP in the current year & in the base year. By what percentage does a real GDP increase from the base year to current year?

iii) Find the GDP deflator for the current year & the base year. By what percentage does the price level change from the base year to current year?

- b. If you woke up in the morning & found that nominal GDP has doubled overnight, what statistic would you need to check before you began to celebrate: Why?

QUESTION THREE

- a. You are given the following information about an economy:
Gross Investment = 40, Govt. purchases of goods & service = 30, $GNP = 200$ X – $M = -20$,
Personal Tax = 60, Govt. transfer = 25, Interest payments from the Govt. to domestic Pvt. Sector = 15, Factor income received from the rest of the world = 7, Factor payment made to rest of world = 9
Calculate:
- Consumption
 - GDP
 - Net factor payment from abroad
 - Pvt. Saving and Public Saving
- b. Discuss the output adjustment process in a Simple Keynesian Model. In this context mention the justification of the assumption that MPC is less than one.
- c. Explain why an increase in government spending has a greater multiplier effect on equilibrium output compared to an equal reduction in taxes

QUESTION FOUR

- a. Suppose that the economy is characterized by the following structural equations:
 $C = 160 + 0.6(4 - T)$, $I = 150$; $G = 150$; $T = 100$.
- Determine the equilibrium output level.
 - If G rises to 200, what is the new equilibrium level of output?
 - What is the value of the govt. expenditure multiplier?
 - If tax falls to 50, by how much will equilibrium output rise?
 - What is the value of tax multiplier?
- b. What do you mean by paradox of thrift?

“By failing to prepare, you are preparing to fail” - Benjamin Franklin

